

China AI

LLM through the lens of a DeepSeek expert

Equities Internet Software & Services

China

- ◆ We hosted DeepSeek product manager Eric Chen on 8 May
- ◆ Post-training, data, talent and chips key to boosting coding ability
- ◆ 2026 chip supply set to stay tight; domestic chips can meet 40-50% of inference demand

Domestic model competitive landscape: On 1) **Coding:** The expert thinks **Zhipu** (Knowledge Atlas), **Kimi** and **DeepSeek (DS)** are leading domestic players. He ranks four key drivers of coding performance: post-training strategy, data quality – such as high-quality code on GitHub platform and files on technical discussion, talent who understand both LLMs and programming languages, and chip resources. 2) **Agentic capability:** The expert ranks **Alibaba's Qwen**, **Kimi** and **DS** first on agentic ability and tools. Between hyperscalers and frontier models, he thinks **Tencent** and **Alibaba** benefit from their vast ecosystems consisting of a user base, high-quality proprietary data, and ready-made products/tools for integration. Independent labs differentiate via base-model iteration and architecture. 3) **Multi-modal and video generation:** The expert calls out **Minimax** and **Zhipu** for multimodal comprehension strength and **Kuaishou** and **Minimax** for video generation.

China vs US model capability: The expert thinks video generation ability between China and the US is broadly on a par, US leads in text/reasoning by 1-3 months and 6 months in multimodal. The US is ahead the most in agent capability, by 8-12 months. To him, the lag in multimodal is mainly due to data quality/availability, and US models also have more advanced architecture. Top US agentic players offer mature tool suites, skills and deployment-ready agent products within their own ecosystems; China has budget-friendly "agent-ready" models, but lags behind in mature productised agent layers. Chip shortage is not the decisive factor for the lag, as the US has an edge in data quality and talent availability. In the short run, shortages in advanced chips could cap training efficiency and the pace of model iteration cycles.

Chip supply constraints: The expert estimates domestic chips currently cover under 40% of China's inference demand, but that the ratio can improve to 40-45% by end-2026 and up to 50% with technological breakthroughs in 7nm-class production. Domestic chips are used in training only in selected small experimental settings. Manufacturing capacity constraints and continued dependence on the CUDA software ecosystem are key bottlenecks in the expert's view.

Monetisation strategy: The expert observed overseas players relying on closed ecosystems' highly priced subscriptions, especially SaaS-like to-B products. China's internet platforms monetise indirectly, leveraging traffic and ecosystem cross-selling, such as in cloud, e-commerce and super-app entry points. Independent labs combine memberships for consumers and to-B API and private deployments for which they charge fees on licensing, fine-tuning and ongoing maintenance. The expert views DS's price cuts as a tactical move to gain share. He expects token prices to trend lower in the long run, hence monetisation will shift towards service-led use cases and tailored workflow solutions, which are priced based on value delivered rather than raw token consumption.

Charlene Liu*

Head of Internet and Gaming Research, Asia Pacific
The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch
charlene.r.liu@hsbc.com.sg
+65 6658 0615

Charlotte Wei*

Analyst, Internet Research
The Hongkong and Shanghai Banking Corporation Limited
charlotte.wei@hsbc.com.hk
+852 2996 6539

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Exhibit 1: Summary of TPs and ratings of the stocks mentioned

Company	BBG ticker	Mkt cap (USDbn)	HSBC rating	CCY	CMP	Target price
Tencent	700 HK	549.1	Buy	HKD	471.40	750.00
Alibaba	BABA US	336.0	Buy	USD	140.06	172.00
Knowledge Atlas	2513 HK	52.6	Hold	HKD	923.00	920.00
Minimax	100 HK	29.7	Hold	HKD	742.50	1,000.00
Kuaishou	1024 HK	29.4	Buy	HKD	52.95	65.00

Source: Bloomberg, HSBC estimates; priced as of 8 May 2026

Speaker biography

Eric Chen is a Senior Product Manager at DeepSeek, where he drives innovation in bringing cutting-edge AI solutions to market from 2023 to the present. Prior to that, he spent over two years at ByteDance as a Senior Product Manager, navigating the transition from traditional mobile internet products to next-generation generative AI models from 2021 to 2023. As an early member of ByteDance's AI Lab, he played a key role in shaping the user interaction framework for AI-generated content and defining the strategic direction for consumer-focused AIGC initiatives.

Disclosure appendix

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10 Marina Boulevard
#45-01 Marina Bay Financial Centre Tower 2
Singapore 018983
Website: www.research.hsbc.com

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